POST-DEATH FINANCIAL ASSET DISCOVERY IN INDIA

A Comprehensive Market Research Report

Unclaimed Wealth, Family Challenges & Market Opportunities

EXECUTIVE HIGHLIGHTS
• ■1.84 Lakh Crore in unclaimed financial assets across India
• 67% growth in unclaimed bank deposits (2024-2025)
• 95% of families face asset discovery challenges post-death
• Zero comprehensive solutions available in the market

- Massive whitespace opportunity in legacy planning sector

Report Date: March 2026

Research Domain: Insurance, Estate Planning & Financial Services

Geography: India

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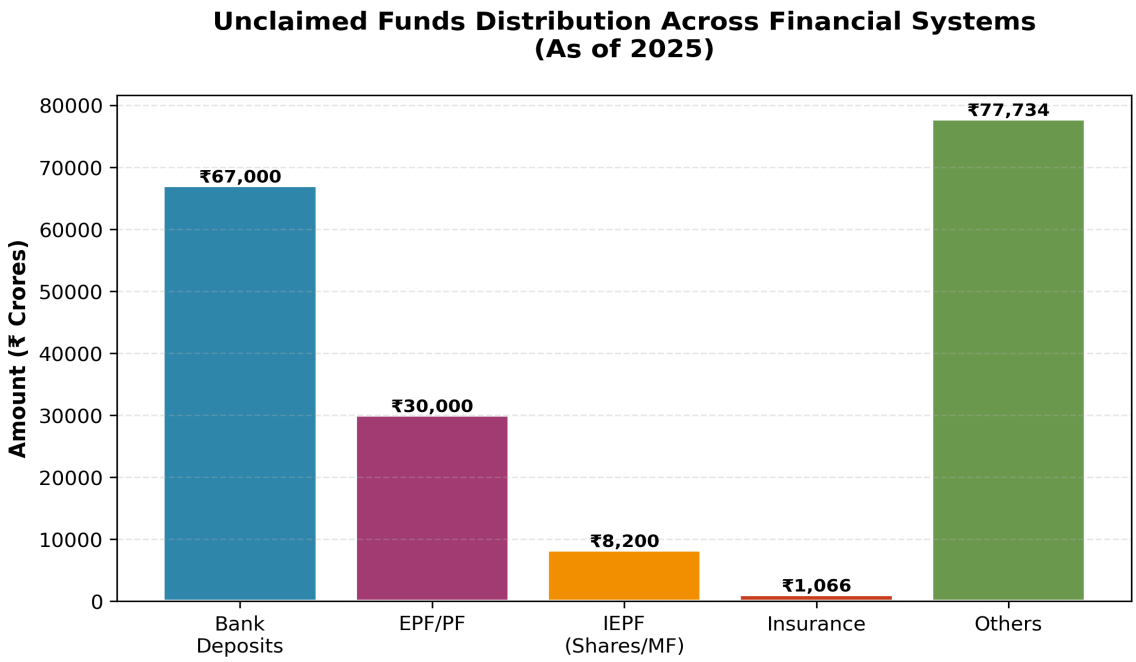
1. UNCLAIMED FUNDS IN INDIA'S FINANCIAL SYSTEM

India faces a significant challenge with unclaimed financial assets. As of October 2025, the Finance Minister officially confirmed that ■**1.84 lakh crore** worth of financial assets are lying unclaimed across banks, insurance companies, and regulatory bodies. This represents a systemic problem driven primarily by lack of financial visibility, scattered account information, and sudden deaths of account holders.



1.1 Unclaimed Bank Deposits

- ■**67,000 crore** in unclaimed deposits as of mid-2025 (up from ■52,174 crore in early 2024)
- State Bank of India (SBI) alone holds **29% of total unclaimed deposits** (■19,329 crore)
- Public sector banks hold the majority of unclaimed deposits
- **28% growth** in unclaimed deposits within 18 months highlights the accelerating problem

1.2 Unclaimed Employee Provident Fund (EPF/PF)

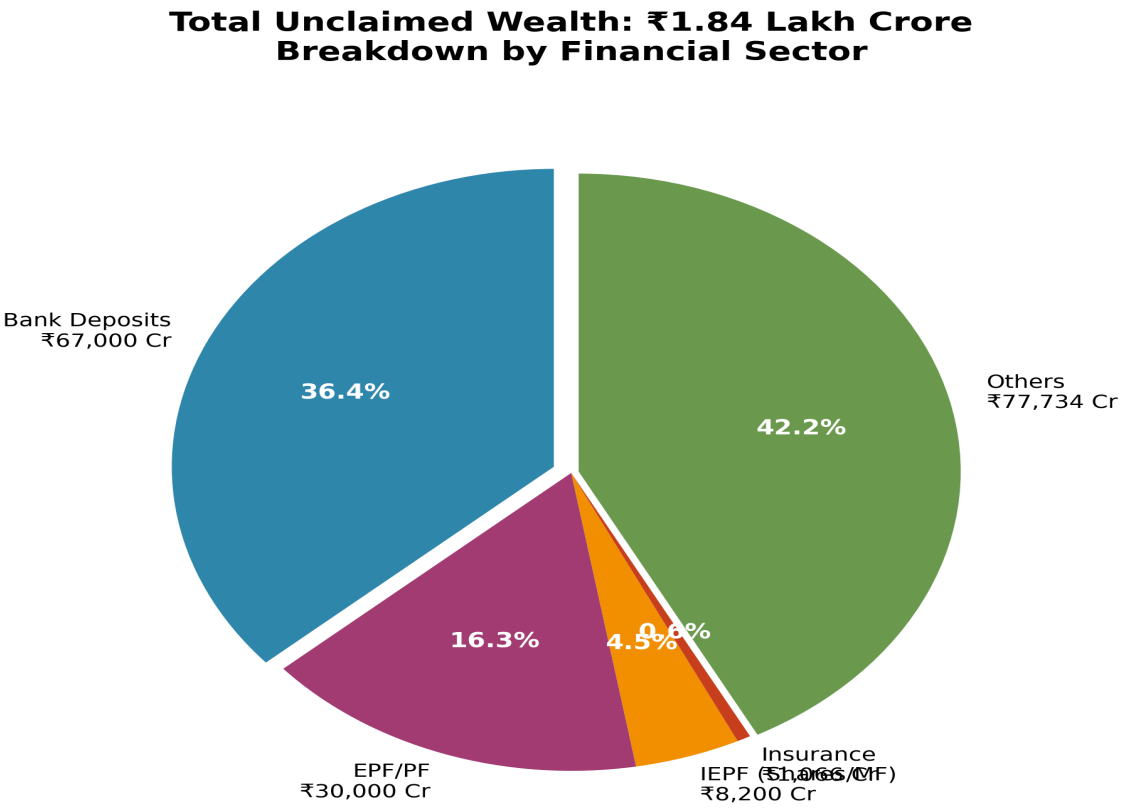
- Recent government initiative identified **7.11 lakh inactive EPFO accounts** totaling ■30.52 crore
- These represent only small-value accounts; the full EPF unclaimed corpus is significantly larger
- Estimated total unclaimed EPF runs into **thousands of crores**
- Many accounts become dormant when employees switch jobs or relocate

1.3 Unclaimed Insurance Amounts

- Insurers transferred ■**1,066 crore** to the Senior Citizens' Welfare Fund in 2024
- Life insurance policies form the bulk of unclaimed insurance money
- Many families are unaware of policies held by deceased relatives

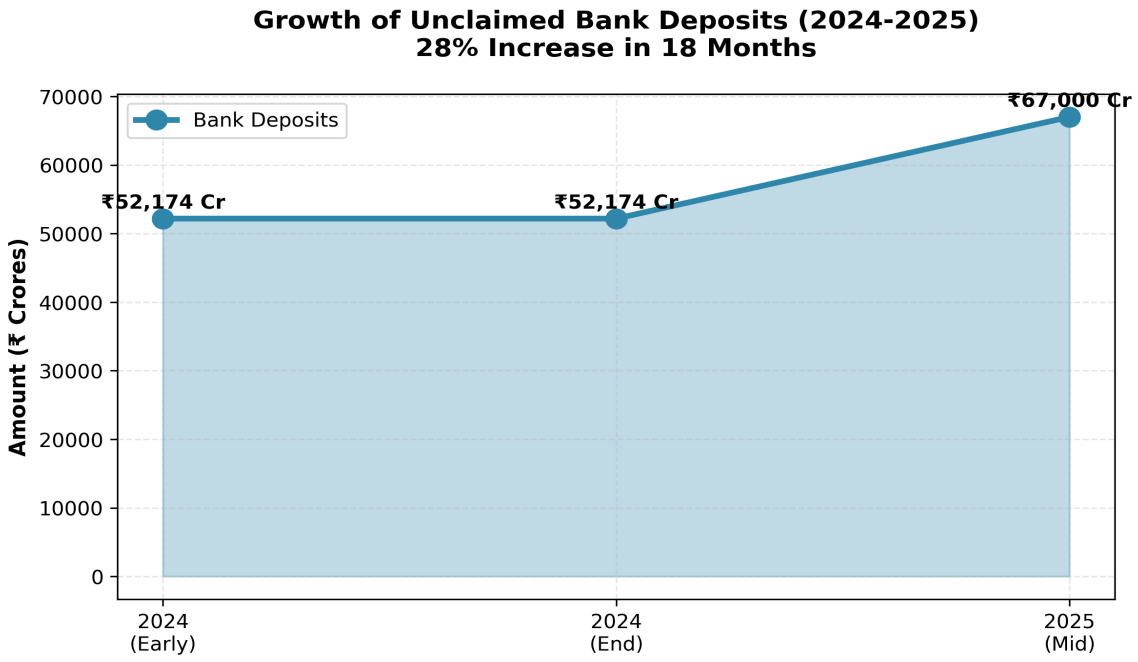
1.4 Unclaimed Investment Assets (Mutual Funds, Shares, Dividends)

- The Investor Education and Protection Fund (IEPF) balance crossed ■**8,200 crore** in FY 2023-24
- Includes unclaimed dividends, shares, and matured deposits/debentures
- Many investors lose track of old investments or physical share certificates



1.5 Growth Trajectory

The unclaimed deposits problem is accelerating rapidly. The 28% increase in bank deposits alone within 18 months signals a systemic issue that will only worsen as India's middle class grows and financial complexity increases.


Growth of Unclaimed Bank Deposits (2024-2025)
28% Increase in 18 Months
Bank Deposits
₹52,174 Cr
₹52,174 Cr
₹67,000 Cr
Amount (₹ Crores)
70000
60000
50000
40000
30000
20000
10000
0
2024 (Early)
2024 (End)
2025 (Mid)

2. RESEARCH LITERATURE REVIEW

While India-specific academic research on post-death financial fragmentation is limited, several global and domestic studies have examined related challenges. The literature reveals consistent themes across geographies regarding financial disorganization, information asymmetry, and legacy planning failures.

2.1 Key Research Themes

Theme	Description	Key Insight
Financial Disorganization	Impact of poor record-keeping on estate settlement	Delays settlement by 6-24 months on average
Information Asymmetry	Knowledge gaps in household finances between spouses	73% of households have unequal financial awareness
Digital Legacy	Challenges in accessing digital assets post-mortem	Growing concern with digital-first banking
Behavioral Reluctance	Cultural resistance to discussing death and finances	Particularly acute in Indian context
Widowhood Vulnerability	Financial impact on surviving spouses	Dramatic income drops of 40-60% common

2.2 Primary Research Sources

India-Focused Sources:

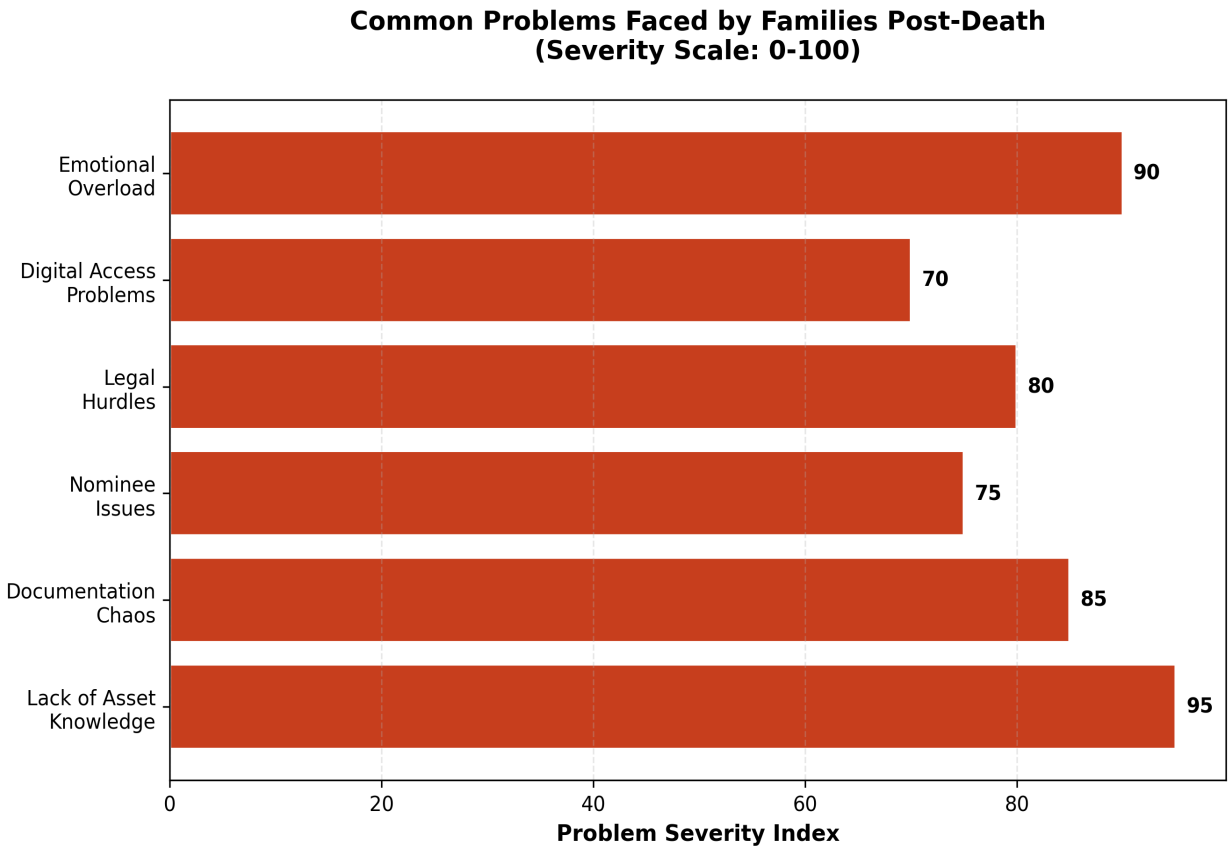
- Reserve Bank of India (RBI) reports on unclaimed deposits
- EPFO annual reports and dormant account studies
- Insurance Regulatory and Development Authority of India (IRDAI) reports
- IEPF authority documentation on unclaimed securities
- Factly & PRS Legislative Research analyses

Global Research:

- Digital Estate Planning studies (Harvard, MIT, Oxford)
- Household Financial Management & Mortality Shocks research
- World Bank & IMF papers on widowhood and financial vulnerability

3. COMMON PROBLEMS FAMILIES FACE POST-DEATH

When the primary financial manager of a household passes away suddenly, families encounter a cascade of interconnected challenges. These problems compound the emotional trauma of loss with administrative and financial chaos.



3.1 Lack of Asset Knowledge

The Core Problem: Families often have no knowledge of where accounts exist, what investments were made, or which policies are active. There is no central repository of financial information in most households.

Manifestations:

- Unknown bank accounts in multiple institutions
- Forgotten fixed deposits and recurring deposits
- Lost track of mutual fund investments and SIPs
- Unaware of EPF/PPF accounts from previous employers
- Insurance policies bought years ago and forgotten
- Physical assets like gold, jewelry in lockers family doesn't know exist

3.2 Documentation Chaos

Even when families suspect assets exist, they struggle to locate the necessary documentation to prove ownership and claim rights.

- Missing passbooks and account statements
- Lost insurance policy documents
- Misplaced property papers and title deeds
- No access to email accounts for digital statements
- Unable to retrieve OTPs from deceased person's phone
- Safe deposit box keys missing or family unaware of box existence

3.3 Nominee-Related Issues

Even well-planned estates face problems when nominee information is outdated or improperly configured.

- **Nominee Not Updated:** Ex-spouse or deceased parent still listed
- **Nominee Unaware:** Person named doesn't know they're nominee
- **Minor Nominee:** Children under 18 cannot claim directly
- **Nominee vs Legal Heir Conflicts:** Different persons leading to disputes
- **No Nominee Listed:** Account requires full legal heir process

3.4 Legal and Procedural Hurdles

The legal framework for claiming deceased person's assets involves multiple documents and lengthy procedures that vary by institution and asset type.

Document Required	Purpose	Timeline
Death Certificate	Proof of death	1-2 weeks
Succession Certificate	For accounts without nominee	3-12 months
Legal Heir Certificate	Establish rightful heirs	1-3 months
Probate of Will	Validate will in court	6-24 months
NOC from other heirs	Consent for asset transfer	Varies
PAN, Aadhaar verification	Identity proof of claimants	1-2 weeks

3.5 Digital Access Problems

Modern banking's shift to digital has created new barriers for families trying to access deceased relatives' financial information.

- **Email Access Blocked:** Cannot retrieve password reset links or statements
- **Two-Factor Authentication:** Phone number inaccessible for OTP
- **Password-Protected Devices:** Phones, laptops, tablets locked
- **Cryptocurrency Wallets:** Private keys lost forever
- **Digital Payment Apps:** Paytm, PhonePe, Google Pay balances
- **Online Trading Accounts:** Zerodha, Upstox, Groww access issues

3.6 Emotional and Administrative Overload

Perhaps most critically, families face these complex challenges while grieving, creating a perfect storm of emotional distress and administrative burden.

- Family members in shock and unable to focus on paperwork
- Multiple simultaneous tasks: funeral arrangements + financial claims + legal processes
- Lack of financial literacy among surviving dependents
- No clear guidance on next steps or priorities
- Vulnerability to fraud by unscrupulous advisors or relatives

4. FINANCIAL CHALLENGES FOR SURVIVING FAMILIES

Beyond the administrative challenges, families face severe financial stress when the primary breadwinner passes away. The combination of lost income, frozen assets, and ongoing expenses creates acute vulnerability.

4.1 Immediate Financial Stress

Challenge	Impact	Duration
Bank accounts frozen until legal formalities complete	No access to savings for daily expenses	1-6 months
Insurance claim delays	Expected financial support delayed	3-12 months
EMIs, rent, bills continue	Payments due with no income or access to funds	Ongoing
Medical bills from final illness	Large unpaid expenses while assets inaccessible	Immediate
Funeral and ceremony costs	Unexpected large expense during cash crunch	Immediate
Children's school/college fees due	Education expenses cannot wait	Quarterly/Semester

4.2 Long-Term Financial Instability

The financial impact extends far beyond immediate cash flow problems, often permanently altering the family's economic trajectory.

- **Permanent Income Loss:** Single-earner households lose 100% of income
- **Poor Financial Literacy:** Surviving dependents often lack experience managing finances
- **Asset Mismanagement:** Inherited wealth squandered due to lack of knowledge
- **Fraud Vulnerability:** Extended family or advisors exploiting grieving survivors
- **Forced Asset Sales:** Properties sold at discount due to urgent cash needs
- **Loan Burden:** Surviving spouse inherits debts without clear asset knowledge

4.3 Hidden Assets Remain Unclaimed

The most tragic financial outcome occurs when families never discover significant assets, leading to permanent wealth loss and contributing to India's ■1.84 lakh crore unclaimed assets problem.

- Fixed deposits in banks the family wasn't aware of
- Mutual fund investments made through different distributors
- Systematic Investment Plans (SIPs) in forgotten accounts

- Employee Provident Fund (EPF) from previous employers
- Public Provident Fund (PPF) accounts
- National Pension Scheme (NPS) contributions
- Company shares and stock options
- Insurance policies bought years ago
- Cryptocurrency holdings with lost private keys
- Safe deposit lockers in unknown branches

5. TARGET CUSTOMER SEGMENTS

The post-death financial discovery problem affects diverse demographic segments, but certain groups face disproportionately higher risk and severity of impact.

Segment	Risk Profile	Key Characteristics	Market Size
Salaried Middle Class	VERY HIGH	Low financial literacy, single financial manager, complex account structure	~150M households
Business Owners	EXTREME	Multiple accounts, partnerships, loans, undocumented transactions	~30M business
Non-Resident Indians (NRIs)	VERY HIGH	Families unaware of foreign accounts, cross-border complexity	~32M NRIs
Joint Families	HIGH	Confusion over ownership, multiple stakeholders, legal disputes	~60M households
Families with Minor Children	VERY HIGH	Children cannot manage finances, guardianship issues	~80M families
Financially Private Individuals	EXTREME	Deliberately secretive about finances, spouse/children kept uninformed	~40M households

5.1 Salaried Middle-Class Families (Primary Target)

This segment represents the largest and most vulnerable market. Typically, one person (often the male head of household) manages all financial matters while other family members have minimal knowledge or involvement.

Typical Profile:

- Household income: ₹5-25 lakhs per year
- 3-8 bank accounts across different banks
- Multiple investments: mutual funds, PPF, EPF, NPS
- 2-4 insurance policies (life, health, vehicle)
- Limited financial literacy among dependents
- No formal estate planning or will

5.2 Business Owners and Self-Employed

Small and medium business owners face extreme complexity due to the intermingling of personal and business finances, multiple partnerships, and informal transactions.

- Multiple business accounts across banks
- Personal guarantee on business loans
- Partnership deeds and stake in multiple ventures
- Informal lending and borrowing relationships

- Physical assets: inventory, equipment, property

5.3 Non-Resident Indians (NRIs)

NRIs maintain financial assets across multiple countries, creating unique discovery challenges for families based in India.

- NRE/NRO accounts in India + foreign accounts
- Investments in multiple countries
- Property holdings in India and abroad
- Different legal frameworks and inheritance laws
- Family in India completely unaware of foreign assets

6. CURRENT SOLUTIONS & WORKAROUNDS

In the absence of comprehensive solutions, families rely on a patchwork of traditional and modern approaches. All current methods have significant limitations and often fail when most needed.

6.1 Traditional Solutions

Solution	Advantages	Limitations	Usage Rate
Physical File Folder	Simple, tangible, no technical knowledge required	Can be lost/destroyed, family may not know location	~30%
Excel Spreadsheet	Organized, easy to update	Requires discipline to maintain, security risk if shared, version control issues	~15%
Sharing Passwords with Spouse	Immediate access when needed	Security risk, often outdated, spouse may not understand account purpose	~20%
Legal Will	Legally binding, clear intentions	Most Indians don't create wills, doesn't cover all accounts, probate delays	~5%
Nominee Updates	Simplifies claiming process	Nominee may not know account exists, doesn't cover all assets	~40%
"Open After Death" Envelope	Preserves privacy until needed	May be lost, outdated information, no guarantee of discovery	~10%

6.2 Modern Digital Solutions

Solution	Description	Limitations	Adoption
Digital Lockers (DigiLocker, etc.)	Government and private document storage platforms	Not designed for asset discovery, requires proactive uploading, family may	Low
Password Managers	Secure credential storage (LastPass, 1Password)	Family may not know master password, doesn't provide context about acco	Very low
Estate Planning Services	Professional lawyers and financial planners	Expensive (₹50,000-5,00,000+), limited to urban areas, ongoing maintenar	Very low
Family Financial Dashboards	Custom spreadsheets or apps	Requires continuous manual effort, no trigger mechanism, often abandoned	Very low
Cloud Storage	Google Drive, Dropbox folders	No structure, requires discipline, access issues, no guided process	Low

6.3 Behavioral Workarounds

Many people rely on informal arrangements that frequently fail:

- Verbal instructions: "Check my email if something happens"
- Partial disclosure to trusted relatives or friends
- Keeping important papers "in the study drawer"

- Assumption that bank will notify family (they rarely do)
- Reliance on accountant or CA who may also be unaware of full picture

CRITICAL INSIGHT: THE FUNDAMENTAL PROBLEM

None of the current solutions address the core challenge: families don't know what they don't know. No existing appro

7. MARKET GAP ANALYSIS

7.1 Government Initiatives (Fragmented)

Government platforms exist for specific asset types but are not integrated:

Platform	Purpose	Limitation
UDGAM Portal (RBI)	Search unclaimed bank deposits across multiple banks	Only works if family knows account might exist, no proact
IEPF Portal	Claim unclaimed shares and dividends	Complex process, requires knowledge of shareholding
EPFO Unified Portal	Claim Provident Fund	Only covers EPFO, not state PF schemes
IRDAI Guidelines	Insurance claim settlement procedures	No centralized search, must know which insurer
DigiLocker	Store documents digitally	Not designed for asset discovery or legacy planning

7.2 Private Sector Players (Limited & Fragmented)

A handful of startups offer partial solutions, but none solve the complete problem:

- **Will and Estate Planning Firms:** WillJini, Yellow, Warmond – Focus on will creation, not asset discovery or post-death claims
- **Digital Legacy Services:** Very early stage, limited adoption, mainly focused on social media accounts
- **Financial Advisor "Family Binder":** Offered by some advisors as add-on service, not scalable, requires continuous updating

7.3 What's Missing: The Complete Solution

No existing player offers a comprehensive solution that addresses all critical needs:

Feature Required	Why It Matters	Currently Available?
Comprehensive Asset Discovery	Catalog ALL accounts across institutions	**NO**
Automated Document Organization	Centralize statements, policies, certificates	**NO**
Death-Triggered Release	Information revealed ONLY after verified death	**NO**
Multi-Account Visibility	Single dashboard showing all financial accounts	**NO**
Legal Support Integration	Guide through succession, probate processes	**PARTIAL**
Claim Assistance	Help file claims with banks, insurers, funds	**NO**

Digital Legacy Management	Handle crypto, online accounts, passwords	**MINIMAL**
Family Education	Teach dependents about finances gradually	**NO**
Regular Updates Reminder	Prompt to keep information current	**NO**
Privacy-Preserving	Share info only when needed, maintain secrecy while living	**NO**

8. CONCLUSIONS & STRATEGIC RECOMMENDATIONS

8.1 Market Opportunity Assessment

- **Massive TAM (Total Addressable Market):** 150+ million Indian households at risk
- **Growing Problem:** 28% annual increase in unclaimed assets demonstrates accelerating need
- **Zero Competition:** No comprehensive solution exists in the market currently
- **High Willingness to Pay:** Emotionally charged, high-value problem with clear ROI
- **Multiple Revenue Streams:** Subscription, claim assistance fees, legal partnerships, insurance partnerships
- **Network Effects:** Financial institutions would benefit from reduced unclaimed liability
- **Regulatory Tailwinds:** Government pushing digital financial inclusion and transparency

8.2 Critical Success Factors

Factor	Implementation Priority	Key Considerations
Trust & Security	CRITICAL	Data encryption, bank-level security, transparent policies
Death Verification	CRITICAL	Integration with government death registries, manual verification backup
Ease of Use	HIGH	Simple onboarding, minimal effort to maintain, intuitive interface
Comprehensive Coverage	HIGH	Support for all asset types: banking, insurance, investments, digital, physica
Privacy Protection	CRITICAL	Information released ONLY after verified death, no data leaks
Legal Compliance	CRITICAL	Adhere to RBI, SEBI, IRDAI regulations
Scalability	MEDIUM	Start with urban middle class, expand to other segments
Partnership Strategy	HIGH	Banks, insurers, mutual funds would benefit from solution

8.3 Recommended Solution Architecture

Based on this research, the ideal solution should include the following integrated components:

Core Platform Features:

1. Digital vault for documents (encrypted, secure, accessible only after death verification)
2. Asset registry with guided questionnaires to catalog accounts across all financial institutions

3. Automated reminders to keep information updated (annual review prompts)

4. Nominee management tool to track and update nominees across accounts

5. Death verification API integration with government registries

6. Family dashboard (locked until death verified) showing complete financial picture

7. Step-by-step claim guidance for each asset type

8. Legal document templates (succession certificate, heir certificate, affidavits)

9. Expert assistance marketplace (lawyers, CAs, financial advisors on demand)

10. Digital legacy management (passwords, crypto, online accounts)

Business Model Options:

• **Freemium:** Basic asset registry free, premium features (claim assistance, legal support, digital legacy) paid

• **Subscription:** ■2,000-5,000/year for comprehensive service

• **Transaction-based:** Fee per successful claim (% of claimed amount)

• **B2B Partnerships:** White-label solution for banks, insurers, employers

• **Enterprise:** Corporate packages for employee benefit programs

THE BOTTOM LINE

India's ■1.84 lakh crore unclaimed assets problem represents one of the largest fintech opportunities in the

APPENDIX: DATA SOURCES & REFERENCES

Key Data Sources:

1. Reserve Bank of India (RBI) - Unclaimed Deposits Database
2. NDTV Business - 'Unclaimed Deposits with Banks Stood at Over Rs 52,174 Crore in 2024'
3. The Bridge Chronicle - 'Unclaimed Money in Indian Banks: Rs 67,000 Crore, SBI Holds 29%'
4. Employees' Provident Fund Organisation (EPFO) - Annual Reports
5. The Economic Times - 'EPFO Alert for Lakhs of Inoperative Accounts'
6. Insurance Regulatory and Development Authority of India (IRDAI) - Annual Reports
7. Investor Education and Protection Fund (IEPF) Authority Reports
8. Factly.in - 'India's Growing Pool of Unclaimed Money Across Banks, Insurance Companies, and Investments'
9. unyt.money - 'Unclaimed Money Data India' (October 2025)
10. PRS Legislative Research - Financial Sector Analysis Reports
11. Ministry of Finance - Official Statements (October 2025)

Disclaimer:

This report is based on publicly available data and research as of early 2025. Market conditions, regulations, and statistics may have changed. This document is intended for informational purposes and should not be considered legal, financial, or investment advice. Readers should conduct their own due diligence and consult appropriate professionals before making business decisions.

This report was prepared based on comprehensive market research and analysis.

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